

ANNUAL PERFORMANCE EVALUATION FRAMEWORK

FOR ASTONEA LABS LIMITED

CIN:L24304CH2017PLC041482

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**ANNUAL PERFORMANCE EVALUATION FRAMEWORK OF THE BOARD OF
DIRECTORS, ITS COMMITTEES, INDEPENDENT DIRECTORS AND KEY
MANAGERIAL PERSONNEL**

PREAMBLE

1. PREAMBLE AND OBJECTIVE:

In accordance with the provisions of Sections 134(3)(p), 178(2), and other applicable provisions of the Companies Act, 2013, read with Schedule IV (Code for Independent Directors) and Regulation 17(10) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Board of Directors of **ASTONEA LABS LIMITED** (“the Company”) hereby adopts the Annual Performance Evaluation Framework (hereinafter referred to as the “Framework”) to establish a structured, transparent, and legally compliant process for evaluating the effectiveness, functioning, and contribution of the Board, its Committees, individual Directors including Independent Directors, and Key Managerial Personnel (“KMPs”) on an annual basis. The Framework is intended to strengthen corporate governance, enhance accountability, ensure compliance with statutory requirements, and promote the highest standards of professional and ethical conduct within the Company.

2. SCOPE OF EVALUATION:

2.1. The Framework shall encompass the following dimensions:

- (a) The **Board as a whole**, including its composition, effectiveness, oversight of strategy, risk management, internal control systems, corporate governance, statutory compliance, and decision-making processes;
- (b) **Board Committees**, with respect to their constitution, delegated authority, performance of roles, attendance, and execution of responsibilities;
- (c) **Individual Directors**, assessing their participation, contribution, exercise of independent and objective judgment, adherence to ethical standards, and compliance with the Company’s Code of Conduct;
- (d) **Independent Directors**, evaluating their performance in separate meetings, their role in reviewing non-independent directors and the Chairperson, safeguarding the interests of minority shareholders, and resolving conflicts of interest; and
- (e) **Key Managerial Personnel (KMPs)**, including the Chief Executive Officer, Chief Financial Officer, Company Secretary, and other KMPs, with respect to achievement of defined Key Result Areas (KRAs), strategic and operational contributions, leadership, compliance with statutory and internal policies, and alignment with corporate objectives.

3. **EVALUATION CRITERIA:**

- 3.1. **Board Evaluation:** The evaluation of the Board shall include, inter alia, strategic oversight, quality and timeliness of decision-making, monitoring of financial and operational performance, effectiveness of risk management, adequacy of internal controls, and adherence to governance and compliance standards.
- 3.2. **Committee Evaluation:** Committees shall be evaluated on the quality of discussions, the relevance and sufficiency of information reviewed, timeliness of recommendations, execution of delegated responsibilities, and attendance and participation of members.
- 3.3. **Individual Director Evaluation:** Directors shall be evaluated on parameters including, but not limited to, active participation in meetings, independent judgment, understanding of the Company's business, knowledge of statutory requirements, integrity, probity, ethical conduct, and commitment to the Company's objectives.
- 3.4. **Independent Director Evaluation:** Independent Directors shall be evaluated on their contribution in separate meetings, review of the performance of non-independent directors and the Chairperson, ability to safeguard stakeholder interests, ensuring appropriate flow of information from management, and proactive identification of conflicts or risks to the Company.
- 3.5. **KMP Evaluation:** Key Managerial Personnel shall be evaluated on achievement of KRAs, adherence to internal policies, compliance with statutory requirements, strategic decision-making, operational efficiency, and leadership capabilities.

4. **EVALUATION PROCESS:**

- 4.1. **Frequency:** The evaluation shall be conducted **annually**, following the close of the financial year and prior to the approval of the Annual Report.
- 4.2. **Methodology:** Evaluation shall be conducted through a combination of self-assessment, peer review, structured questionnaires, and feedback collected by the Nomination and Remuneration Committee ("NRC"). All evaluation responses shall be maintained confidentially.
- 4.3. **Independent Directors' Separate Meeting:** Independent Directors shall hold a separate meeting at least once in a financial year without the attendance of non-independent directors and management to review Board performance, the performance of non-independent directors and Chairperson, and the flow of information between the Board and management.
- 4.4. **NRC Review:** The NRC shall review, compile, and assess all evaluation inputs, prepare a consolidated evaluation report, and present the same to the Board for discussion.
- 4.5. **Board Review:** The Board, excluding the Director(s) under evaluation, shall consider the report, deliberate on the findings, and take necessary actions, including recommendations for training, reappointment, or policy improvements.

5. **DOCUMENTATION AND REPORTING:**

- 5.1. The NRC shall ensure that all evaluation findings are properly documented, and the consolidated report is presented at the Board meeting.
- 5.2. The Board shall approve the evaluation outcomes, and such approval shall be recorded in the minutes of the Board meeting.
- 5.3. The Company shall disclose a summary of the evaluation process and outcomes in the **Annual Report**, in compliance with applicable provisions of the Companies Act, 2013, and SEBI LODR Regulations.
- 5.4. The Framework and evaluation methodology shall be published on the Company's website to ensure transparency and governance compliance.

6. **CONFIDENTIALITY:**

- 6.1. All information, responses, and reports arising from the evaluation process shall be **strictly confidential** and shall be accessible only to the NRC and the Board.
- 6.2. Independent Directors' separate meeting deliberations shall remain confidential and shall not be disclosed except as required by law or approved by the Board.

7. **FOLLOW-UP AND ACTION:**

- 7.1. Based on the evaluation findings, the Board may recommend training, development programs, or policy amendments to improve overall governance and operational performance.
- 7.2. Recommendations arising from the evaluation may include reappointment or replacement of Directors, modification of Committee charters, or improvements in reporting and information flow.
- 7.3. Implementation of recommendations shall be overseen by the NRC, with monitoring of progress to ensure continuous improvement.

8. **AUTHORITY AND DELEGATION:**

- 8.1. The NRC is authorized to implement and oversee the evaluation process, including distribution of questionnaires, collection of responses, compilation of data, and presentation of reports.
- 8.2. The NRC may delegate operational responsibilities to the Company Secretary or any other officer, provided that final evaluation outcomes and recommendations are approved by the Board.

9. **TIMING:**

9.1. Evaluation shall be conducted after the end of the financial year (March 31), and prior to approval of the Annual Report and notice of the Annual General Meeting.

9.2. Suggested timeline:

S.No.	Particulars	Suggested Timeline
1.	Distribution of evaluation forms	April -May
2.	Submission of evaluation responses	May
3.	NRC compilation and review	May -June
4.	Independent Directors' separate meeting	June
5.	Board review and approval of evaluation report	June -July
6.	Disclosure in Annual Report	July onwards

10. **COMPLIANCE AND LEGAL EFFECT:**

10.1. This Framework is adopted in accordance with Sections 134(3)(p), 178(2), 149, Schedule IV of the Companies Act, 2013, and SEBI LODR Regulation 17(10), and any other applicable provisions of law.

10.2. The adoption of this Framework shall be binding on the Board, its Committees, Independent Directors, and KMPs and shall be reviewed annually for relevance, effectiveness, and compliance with applicable laws